QUARTERLY INVESTOR REPORT

Driftwood Self Storage | Tempe, AZ

Investment	Driftwood Self Storage
Quarter	4Q 2025
Report Date	July 13, 2020
Sponsor	Sunbelt Ridge Acquisitions
Occupancy	88.5%

Risk Considerations

Distributions to investors for the quarter were paid at an annualized rate of 5.3% on contributed capital. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Physical occupancy is 95.1% and the average in-place rent is $156 per unit per month. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 2.3% with an equity multiple of 1.44x over the hold period.

Physical occupancy is 93.1% and the average in-place rent is $156 per unit per month. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 11.5% with an equity multiple of 1.24x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 3.7% on contributed capital.

Property Operations

Physical occupancy is 94.7% and the average in-place rent is $156 per unit per month. Service requests are tracked through a work-order system with an average completion time of 39 hours. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Collections for the period were 96.5% of billed charges, with bad debt of 4.7% of gross potential income.

Service requests are tracked through a work-order system with an average completion time of 42 hours. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 6 additional team members. Physical occupancy is 89.4% and the average in-place rent is $156 per unit per month.

Risk Considerations

The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns.

Distributions to investors for the quarter were paid at an annualized rate of 5.4% on contributed capital. Projected levered IRR is 2.8% with an equity multiple of 1.27x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Property Operations

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Physical occupancy is 88.3% and the average in-place rent is $156 per unit per month. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. The manager completes a monthly walk of the property and submits a variance report to the owner by the 9th business day. Service requests are tracked through a work-order system with an average completion time of 13 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

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Risk Considerations

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Physical occupancy is 88.9% and the average in-place rent is $156 per unit per month. Projected levered IRR is 12.7% with an equity multiple of 1.6x over the hold period.

Distributions to investors for the quarter were paid at an annualized rate of 7.4% on contributed capital. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Leasing and Marketing

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 19 additional team members. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 42th business day. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 22 additional team members. Physical occupancy is 94.8% and the average in-place rent is $156 per unit per month. Collections for the period were 94.7% of billed charges, with bad debt of 3.8% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Investment Overview

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Projected levered IRR is 3.7% with an equity multiple of 1.29x over the hold period.

Distributions to investors for the quarter were paid at an annualized rate of 4.6% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns.

Management Commentary

Collections for the period were 90.5% of billed charges, with bad debt of 5.8% of gross potential income. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Service requests are tracked through a work-order system with an average completion time of 46 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

Service requests are tracked through a work-order system with an average completion time of 45 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 40th business day. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 42 additional team members.

Investor Distributions

The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 6.9% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Physical occupancy is 95.7% and the average in-place rent is $156 per unit per month.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
LED lighting retrofit	Site	10/05/25	Q2 2026	$30,000	$25,122	Bidding
Landscape / irrigation	Site	08/11/23	Q4 2027	$223,000	$19,978	Deferred
Landscape / irrigation	Building	06/01/26	Q3 2025	$569,000	$474,457	Approved
ADA compliance	Life Safety	11/12/25	Q2 2027	$224,000	$214,953	In progress
Water heater replacement	Life Safety	04/10/26	Q4 2025	$401,000	$350,385	Bidding
Unit interior upgrades	Interior	12/22/25	Q4 2026	$737,000	$670,856	Bidding
Door hardware	Energy	01/19/26	Q3 2026	$390,000	$175,962	Deferred
Fire alarm panel upgrade	Life Safety	03/26/25	Q1 2026	$497,000	$503,349	Deferred
Signage / monument	Site	06/29/23	Q3 2025	$152,000	$127,238	Approved
Fire alarm panel upgrade	Life Safety	10/21/26	Q3 2025	$315,000	$231,179	Bidding
Security camera upgrade	Life Safety	07/06/24	Q3 2026	$574,000	$207,294	Deferred
Elevator modernization	Energy	07/31/25	Q4 2026	$469,000	$133,052	In progress
HVAC replacement	Interior	11/17/24	Q1 2027	$421,000	$404,526	Bidding
Roof replacement - Bldg B	Site	05/06/24	Q1 2027	$176,000	$60,746	In progress
LED lighting retrofit	Interior	03/05/24	Q1 2025	$262,000	$188,978	Deferred
Exterior paint	Energy	01/28/23	Q3 2026	$383,000	$74,227	In progress
Amenity renovation	Interior	03/24/26	Q1 2026	$128,000	$59,922	In progress
Pool resurfacing	Site	10/05/24	Q1 2027	$144,000	$22,319	Approved
Roof replacement - Bldg A	Interior	01/31/23	Q2 2025	$451,000	$386,838	In progress
Amenity renovation	Site	12/14/25	Q3 2025	$794,000	$486,196	Complete
ADA compliance	Life Safety	05/10/24	Q1 2027	$601,000	$545,289	Approved
Water heater replacement	Life Safety	08/23/23	Q1 2027	$192,000	$38,840	Complete
Amenity renovation	Life Safety	05/15/24	Q2 2025	$572,000	$66,834	Approved
Exterior paint	Life Safety	03/28/23	Q4 2027	$876,000	$836,657	Complete
ADA compliance	Building	03/08/23	Q1 2026	$830,000	$678,818	Deferred
Fence replacement	Interior	10/20/24	Q4 2026	$767,000	$761,436	Deferred
Fire alarm panel upgrade	Site	11/08/23	Q4 2026	$158,000	$139,602	Bidding
Security camera upgrade	Building	12/29/25	Q2 2027	$164,000	$70,427	In progress
ADA compliance	Interior	03/16/26	Q2 2026	$818,000	$570,476	Deferred
Water heater replacement	Interior	02/02/26	Q2 2027	$17,000	$12,297	Complete
Roof replacement - Bldg A	Site	07/16/25	Q2 2026	$195,000	$105,848	Complete
Signage / monument	Site	06/16/25	Q4 2027	$656,000	$53,205	In progress
Fence replacement	Interior	12/05/25	Q4 2027	$45,000	$16,493	Approved
Elevator modernization	Energy	03/17/24	Q3 2025	$559,000	$152,544	Complete
LED lighting retrofit	Interior	12/22/23	Q3 2027	$95,000	$51,651	Deferred
Pool resurfacing	Life Safety	02/21/25	Q4 2027	$436,000	$286,844	Complete
Door hardware	Energy	02/28/23	Q4 2027	$531,000	$365,201	Approved
Sewer line repair	Energy	08/19/26	Q1 2027	$874,000	$911,967	Approved
Security camera upgrade	Energy	10/06/26	Q1 2025	$428,000	$374,921	Bidding
Elevator modernization	Life Safety	05/02/24	Q3 2025	$436,000	$443,438	Complete

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Financial Analysis

Operating expenses totaled $177,000 or approximately 22.51 per square foot, with real estate taxes representing the largest line item. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. The going-in capitalization rate of 6.26% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.52x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses.

Debt service coverage ratio was 7.09x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $174,000 or approximately 21.66 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 3.8% of collected revenue and are included in operating expenses. Physical occupancy is 96.5% and the average in-place rent is $156 per unit per month. Effective gross income for the trailing period was $52,000, representing a 12.4% increase over the prior year. The going-in capitalization rate of 6.76% reflects the in-place income and the stabilized occupancy assumption.

Submarket Analysis

Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Median household income within a 8-mile radius of the property is approximately $423,000 and has grown 13.8% annually. Rent growth in the submarket has averaged 4.0% annually over the past 5 years. The Tempe Self Storage market has experienced absorption of 2900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Market vacancy for comparable Self Storage product stands at 13.2%, down from 6.5% two years ago. Driftwood Self Storage is located in Tempe, AZ, a market that has recorded 2.0% population growth over the last five years.

The Tempe Self Storage market has experienced absorption of 2400 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Rent growth in the submarket has averaged 7.9% annually over the past 4 years. Investor demand for Self Storage assets in Tempe remains strong with recent trades at capitalization rates between 6.95% and 6.95%. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability.

Income and Expense Review

Operating expenses totaled $422,000 or approximately 7.28 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 7.31% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 7.2% over the hold period. Debt service coverage ratio was 7.58x on a trailing basis against a covenant minimum of 1.20x. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

Management fees are calculated at 6.7% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $115,000, representing a 13.8% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period. Physical occupancy is 94.7% and the average in-place rent is $156 per unit per month. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Supply and Demand

Rent growth in the submarket has averaged 7.7% annually over the past 11 years. Employment growth is led by healthcare, logistics, education and professional services sectors. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Median household income within a 7-mile radius of the property is approximately $269,000 and has grown 7.5% annually.

Driftwood Self Storage is located in Tempe, AZ, a market that has recorded 13.2% population growth over the last five years. Median household income within a 1-mile radius of the property is approximately $459,000 and has grown 12.8% annually. The Tempe Self Storage market has experienced absorption of 3800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Rent growth in the submarket has averaged 3.3% annually over the past 6 years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Operating Performance

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$68,420	$70,507	$71,758	$3,337	4.9%	$96.97
5010 Loss to Lease	$15,504	$16,688	$17,112	$1,608	10.4%	$23.12
5020 Vacancy Loss	$67,972	$65,546	$66,735	-$1,237	-1.8%	$90.18
5030 Concessions	$64,793	$64,647	$65,873	$1,081	1.7%	$89.02
5040 Bad Debt	$37,872	$38,592	$38,795	$923	2.4%	$52.43
5050 Late Fees	$50,528	$50,161	$51,845	$1,317	2.6%	$70.06
5060 Utility Reimbursements	$32,208	$31,514	$33,500	$1,292	4.0%	$45.27
5070 Parking Income	$62,796	$63,283	$64,956	$2,160	3.4%	$87.78
5080 Application Fees	$32,416	$34,527	$35,141	$2,725	8.4%	$47.49
5090 Pet Rent	$11,673	$11,728	$11,785	$112	1.0%	$15.93
5100 Laundry Income	$8,865	$9,479	$9,858	$993	11.2%	$13.32
5110 Cable/Internet Revenue	$57,910	$62,415	$66,351	$8,441	14.6%	$89.66
5120 CAM Reimbursements	$26,548	$27,842	$29,087	$2,539	9.6%	$39.31
5130 Tax Reimbursements	$11,652	$11,594	$12,120	$468	4.0%	$16.38
5140 Insurance Reimbursements	$42,577	$43,363	$46,024	$3,447	8.1%	$62.19
5150 Percentage Rent	$28,976	$28,991	$30,427	$1,451	5.0%	$41.12
5160 Misc. Income	$26,060	$24,003	$24,826	-$1,234	-4.7%	$33.55
5170 Payroll - Management	$52,816	$51,535	$52,412	-$404	-0.8%	$70.83
5180 Payroll - Leasing	$17,151	$15,862	$16,004	-$1,147	-6.7%	$21.63
5190 Payroll - Maintenance	$40,197	$43,126	$45,747	$5,551	13.8%	$61.82
5200 Payroll Taxes & Benefits	$18,224	$17,850	$18,463	$239	1.3%	$24.95
5210 Repairs - Plumbing	$34,134	$32,386	$33,458	-$676	-2.0%	$45.21
5220 Repairs - HVAC	$25,732	$24,701	$24,960	-$772	-3.0%	$33.73
5230 Repairs - Electrical	$26,915	$25,809	$26,537	-$378	-1.4%	$35.86
5240 Repairs - Appliances	$31,263	$30,435	$31,572	$309	1.0%	$42.66
5250 Painting & Decorating	$67,276	$68,068	$69,893	$2,617	3.9%	$94.45
5260 Flooring	$34,314	$32,697	$33,998	-$316	-0.9%	$45.94
5270 Make-Ready / Turnover	$5,069	$4,677	$4,937	-$132	-2.6%	$6.67
5280 Landscaping Contract	$13,315	$13,468	$14,310	$994	7.5%	$19.34
5290 Snow Removal	$25,209	$24,831	$26,374	$1,165	4.6%	$35.64
5300 Janitorial	$12,481	$12,311	$12,450	-$31	-0.2%	$16.82
5310 Pest Control	$58,101	$59,065	$62,495	$4,394	7.6%	$84.45
5320 Trash Removal	$13,273	$12,655	$12,972	-$301	-2.3%	$17.53
5330 Elevator Contract	$62,339	$59,229	$62,229	-$110	-0.2%	$84.09
5340 Fire & Life Safety	$11,622	$11,572	$11,653	$31	0.3%	$15.75
5350 Security	$51,665	$49,956	$50,195	-$1,470	-2.8%	$67.83
5360 Electricity - Common	$52,487	$48,758	$51,963	-$524	-1.0%	$70.22
5370 Gas - Common	$50,454	$51,903	$54,442	$3,989	7.9%	$73.57
5380 Water & Sewer	$43,423	$44,611	$45,989	$2,566	5.9%	$62.15
5390 Telephone/Internet	$24,433	$22,962	$23,877	-$556	-2.3%	$32.27

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Business Plan Progress

Projected levered IRR is 12.8% with an equity multiple of 1.12x over the hold period. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Physical occupancy is 93.2% and the average in-place rent is $156 per unit per month. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 11 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 33 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Collections for the period were 90.6% of billed charges, with bad debt of 6.9% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 16 additional team members. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. The manager completes a monthly walk of the property and submits a variance report to the owner by the 13th business day.

Investor Distributions

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Physical occupancy is 95.6% and the average in-place rent is $156 per unit per month. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 9.1% with an equity multiple of 1.24x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 7.9% on contributed capital.

Physical occupancy is 89.0% and the average in-place rent is $156 per unit per month. Projected levered IRR is 8.4% with an equity multiple of 1.23x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 6.9% on contributed capital. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

Management Commentary

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 36 hours. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Collections for the period were 89.7% of billed charges, with bad debt of 4.0% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 18 additional team members. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The manager completes a monthly walk of the property and submits a variance report to the owner by the 14th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Business Plan Progress

Projected levered IRR is 7.2% with an equity multiple of 1.2x over the hold period. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Storefront glazing	Interior	07/22/23	Q4 2025	$732,000	$303,720	In progress
Security camera upgrade	Site	09/24/24	Q2 2027	$129,000	$20,802	Bidding
Lobby renovation	Building	04/26/25	Q3 2025	$35,000	$12,367	Bidding
Sewer line repair	Interior	06/21/25	Q4 2027	$249,000	$23,366	Complete
Roof replacement - Bldg C	Energy	12/25/23	Q4 2027	$177,000	$112,751	Approved
Exterior paint	Building	06/22/26	Q4 2027	$848,000	$575,408	Bidding
Exterior paint	Site	02/14/23	Q1 2027	$421,000	$216,554	Deferred
Landscape / irrigation	Site	02/14/24	Q4 2026	$704,000	$399,117	Deferred
Fence replacement	Building	10/14/26	Q4 2025	$114,000	$46,494	In progress
LED lighting retrofit	Building	03/05/24	Q1 2026	$825,000	$680,718	Complete
Elevator modernization	Life Safety	05/14/24	Q2 2025	$457,000	$53,285	In progress
Fence replacement	Interior	01/15/24	Q4 2026	$681,000	$539,137	In progress
Pool resurfacing	Building	04/14/25	Q4 2026	$575,000	$221,718	Deferred
Fire alarm panel upgrade	Building	06/15/23	Q2 2027	$262,000	$61,826	Deferred
Storefront glazing	Interior	08/09/23	Q1 2027	$812,000	$628,354	Approved
Unit interior upgrades	Site	10/21/24	Q2 2025	$262,000	$32,881	Approved
Landscape / irrigation	Interior	10/14/25	Q2 2027	$160,000	$8,083	In progress
Sewer line repair	Building	07/30/23	Q3 2026	$163,000	$74,236	Complete
LED lighting retrofit	Building	11/16/26	Q1 2026	$310,000	$122,950	Bidding
Security camera upgrade	Site	12/31/24	Q3 2025	$670,000	$424,619	Approved
Exterior paint	Interior	04/13/24	Q2 2027	$448,000	$203,949	Complete
Door hardware	Site	02/08/26	Q2 2027	$825,000	$121,132	Deferred
LED lighting retrofit	Interior	11/20/24	Q2 2026	$692,000	$370,808	Complete
Sewer line repair	Energy	09/28/26	Q1 2027	$554,000	$326,169	Complete
Lobby renovation	Building	02/19/23	Q3 2027	$326,000	$181,547	Deferred
Fire alarm panel upgrade	Energy	03/09/26	Q1 2027	$204,000	$201,098	Complete
Unit interior upgrades	Energy	12/15/26	Q4 2027	$214,000	$43,536	Bidding
Exterior paint	Building	07/15/25	Q3 2026	$348,000	$360,741	Deferred
ADA compliance	Site	06/29/23	Q2 2026	$96,000	$60,651	Bidding
Fence replacement	Building	12/26/26	Q1 2027	$420,000	$296,209	Deferred
Fence replacement	Site	08/27/24	Q1 2025	$851,000	$646,025	Approved
Exterior paint	Site	10/02/23	Q1 2025	$451,000	$69,554	In progress
HVAC replacement	Life Safety	07/16/25	Q1 2027	$388,000	$267,684	Bidding
Landscape / irrigation	Energy	11/30/25	Q3 2025	$172,000	$87,380	Bidding
Unit interior upgrades	Energy	04/11/24	Q1 2027	$22,000	$3,753	Deferred
LED lighting retrofit	Building	01/09/25	Q2 2027	$717,000	$745,365	Bidding
Security camera upgrade	Life Safety	12/27/24	Q1 2026	$861,000	$790,160	Complete
Sewer line repair	Site	05/05/24	Q4 2026	$571,000	$477,694	Approved
Amenity renovation	Life Safety	10/05/23	Q3 2027	$555,000	$233,043	Complete
Fence replacement	Life Safety	07/24/26	Q3 2026	$27,000	$1,650	Deferred
Elevator modernization	Interior	01/03/23	Q2 2025	$396,000	$117,806	Deferred
Parking lot resurfacing	Life Safety	05/11/23	Q3 2025	$212,000	$81,971	Deferred
Pool resurfacing	Energy	08/21/26	Q1 2026	$817,000	$753,273	Complete

Report generated 07/13/2020. Figures are unaudited and subject to change.

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Income and Expense Review

Debt service coverage ratio was 6.38x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Physical occupancy is 89.0% and the average in-place rent is $156 per unit per month. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The going-in capitalization rate of 7.39% reflects the in-place income and the stabilized occupancy assumption. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

The going-in capitalization rate of 5.95% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $93,000, representing a 8.0% increase over the prior year. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

Demographics and Employment

Market vacancy for comparable Self Storage product stands at 9.7%, down from 5.0% two years ago. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Median household income within a 7-mile radius of the property is approximately $457,000 and has grown 3.7% annually. Driftwood Self Storage is located in Tempe, AZ, a market that has recorded 9.4% population growth over the last five years.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Self Storage product stands at 8.4%, down from 3.3% two years ago. Rent growth in the submarket has averaged 7.3% annually over the past 3 years. Physical occupancy is 90.2% and the average in-place rent is $156 per unit per month. Median household income within a 2-mile radius of the property is approximately $275,000 and has grown 3.2% annually. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

Income and Expense Review

Debt service coverage ratio was 6.14x on a trailing basis against a covenant minimum of 1.20x. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Operating expenses totaled $296,000 or approximately 41.65 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 7.30% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The going-in capitalization rate of 7.31% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $473,000, representing a 8.4% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Physical occupancy is 90.2% and the average in-place rent is $156 per unit per month.

Supply and Demand

Driftwood Self Storage is located in Tempe, AZ, a market that has recorded 5.4% population growth over the last five years. Physical occupancy is 90.8% and the average in-place rent is $156 per unit per month. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Investor demand for Self Storage assets in Tempe remains strong with recent trades at capitalization rates between 7.18% and 7.18%. Employment growth is led by healthcare, logistics, education and professional services sectors. Rent growth in the submarket has averaged 3.1% annually over the past 3 years.

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The Tempe Self Storage market has experienced absorption of 4000 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Investor demand for Self Storage assets in Tempe remains strong with recent trades at capitalization rates between 8.06% and 8.06%. Driftwood Self Storage is located in Tempe, AZ, a market that has recorded 10.2% population growth over the last five years.

Valuation Discussion

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Disclaimer and Confidentiality

Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of AZ. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. This document relates solely to Driftwood Self Storage and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. Time is of the essence with respect to each and every provision of this instrument. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of AZ. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This document relates solely to Driftwood Self Storage and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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